

Contingent Liabilities

Contingent liabilities are liabilities that may arise up on the happening of an event. It is uncertain, however, whether the event itself may happen. This is why these are not provided for and shown as an actual liability in the balance sheet. Contingent liabilities are detailed in the Financial Statements as a note to inform the readers of possible future liabilities while arriving at an opinion about the company. The contingent liabilities one normally encounters are:

- Bills discounted with banks — these may crystallize into active liabilities if the bills are dishonoured.
- Gratuity to employees not provided for.
- Legal suits against the company not provided for.
- Claims against a company not acknowledged or accepted.
- Excise claims against the company.

Schedules and Notes to the Accounts

The schedules and notes to the accounts are an integral part of the financial statements of a company and it is important that they be read along with the financial statements. Most people avoid reading these. They do so at their own risk as these provide vital clues and information.